RATING ACTION

Moody's places A3 rating on the Industrial Development Authority Revenue Bonds (Kestrel Industries Project), Series 2019, under review, direction uncertain

2 April 2026

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Rationale

Moody's Investors Service today placed the A3 rating on the Industrial Development Authority Revenue Bonds (Kestrel Industries Project), Series 2019, under review, direction uncertain, following the 12 March 2026 public confirmation that the corporate guarantor is evaluating a proposed leveraged acquisition by a financial sponsor. Because this credit's rating rests entirely on the corporate guarantor's unconditional guarantee rather than on any project-level cash flow, our review will focus on whether the proposed transaction, if it closes, preserves the guarantee's current unconditional, full and timely payment terms, and on any change in the guarantor's own senior unsecured credit quality that the transaction may produce. Moody's placement of this rating under review does not itself imply a particular direction; the rating could be affirmed, upgraded, or downgraded on resolution, consistent with our published convention that a review's direction is separate from an eventual one-notch-or-more outcome in either direction.

We expect to resolve this review once the transaction either closes, on terms that clarify the guarantor's prospective credit quality and the guarantee's continued terms, or is abandoned.

Methodology

Moody's Government-Related Issuers methodology remains the basis for this rating, exactly as our initial rating action on this credit described - a corporate guarantee wrap over a conduit municipal structure, with the placement under review changing neither the methodology applied nor how it is applied to this credit.

Background

Kestrel Industries's owner publicly confirmed on 12 March 2026 that it had received and was evaluating a proposal from a financial sponsor to acquire the company in a leveraged transaction. Because this credit's guarantor is the same corporate parent involved in that proposed transaction, we are placing this rating under review concurrently with our separate review of the guarantor's own senior unsecured notes rating, announced the same day.

The bonds' own structural terms - the serial-and-term maturity schedule, the mandatory sinking fund, and the 2029 first optional redemption date - are all fixed at issuance and are unaffected by the review placement; nothing about this action changes any payment date, redemption date, or coupon applicable to the bonds.

Rating History

Date	Action	Rating	Outlook
2019-06-01	Assigned at issuance (initial rating)	A3	Stable
2 April 2026	Placed under review, direction uncertain (this action)	A3	Under review

This is the second Moody's rating action on this credit since its 2019 issuance. No intervening action occurred between the initial rating and this review placement, consistent with the guarantee's own stability over that period.

Factors relevant to the review

» Whether the proposed transaction, if it closes, preserves the guarantee's current unconditional, full and timely payment terms without amendment.

» Any change in the guarantor's own senior unsecured credit quality that the transaction, once its financing terms are disclosed, may produce.

» Whether the transaction closes at all, is restructured, or is abandoned.

We would generally expect to resolve this review consistently with however we resolve our separate review of the guarantor's own senior unsecured notes rating, since this credit's own rating rests entirely on that same guarantee; a materially different outcome for the two reviews would be unusual absent a specific amendment to the guarantee itself.

Regulatory disclosures

This action was taken as part of our regular surveillance of the issuer and not in response to a request from the issuer, the Authority, or any third party. All information used in this action was obtained from sources believed to be reliable, including public disclosures made by the guarantor in connection with the proposed transaction and information provided directly by the guarantor in the ordinary course of surveillance of its own separate ratings. Moody's did not and does not have access to any non-public financing materials in connection with the proposed transaction.

A description of Moody's rating scale and definitions, and a description of Moody's policies for assigning credit ratings and for the treatment of confidential information, are available on Moody's public website free of charge; this action does not reproduce those materials in full.

Bond structure summary

Feature	Description
Par outstanding	$24,500,000
Structure	Serial maturities 2027-2033 plus a single term bond due 2039
Amortization of term	Mandatory sinking fund beginning 2034-06-01, fixed at issuance and unaffected by this

bond	review placement
First optional redemption	2029-06-01, at par, fixed at issuance
Effect of this action on bond terms	None - the structural terms above are fixed at issuance and unaffected by this review placement, as stated under Background above; nothing about this action changes any payment date, redemption date, or coupon
Security	Unconditional corporate guarantee (no independent project revenue pledge); whether the proposed transaction preserves its terms is the subject of this review
Tax status	Private activity bond, not bank-qualified

None of the structural features above changed as part of this review placement; they are restated here for a reader who has not reviewed our initial rating action, with the review's own effect on those terms stated explicitly in the table rather than left to be inferred.

Related research

See our initial rating action on this credit, dated at issuance, for a fuller discussion of the credit strengths and challenges applicable to a corporate-guarantee-wrapped conduit structure of this kind. See also our concurrently published review-placement action on the guarantor's own senior unsecured notes rating, referenced under Background above, for our analysis of the proposed transaction from the guarantor's own perspective.

This review placement does not itself change the rating shown above; a change, if any, will be announced in a separate rating action once the review is resolved, consistent with our general practice for a rating placed under review.

Scope of this action

The rating this review placement covers is limited to the Industrial Development Authority Revenue Bonds named in the headline above - nothing here should be read as a statement on the underlying manufacturing facility's credit quality as a standalone asset, on the tax-exempt status of interest paid on the bonds, or on any other matter Moody's own published rating definitions place outside the scope of a credit rating.

Investors should not treat this review placement as an indication that a rating change is more likely than not; it reflects only that we have identified a specific, material event whose credit consequences we cannot yet size with the precision an immediate rating action would require, which is precisely the situation our review-placement convention exists to address.

We expect to resolve this review, together with our concurrent review of the guarantor's own senior unsecured notes rating, within the horizon our own published review-placement conventions specify for a placement of this kind, absent a material change in the pace of the underlying transaction's own disclosure.

This review placement is not itself a rating change and should not be reported as one; the rating shown in the headline above remains A3 pending resolution of this review, exactly as it stood immediately before this action.

We will publish a further rating action once this review is resolved, whether that resolution is an affirmation, an upgrade, or a downgrade, and that further action will supersede this one for all purposes as of its own date, including for the Rating History table shown earlier in this rating action.

Contacts

Moody's Investors Service, Public Finance Group. Questions regarding this rating action should be directed to the analyst contacts named above.

This rating action is one of two related actions Moody's is publishing on 2 April 2026, the other being our concurrent review-placement action on the guarantor's own senior unsecured notes rating; a reader tracking both should expect them to resolve on a related, though not necessarily identical, timetable, since each rests on the same underlying guarantee analysis but addresses a formally distinct rated instrument.

Disclaimer

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